

05 Lender Review Guidelines

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Prepared by Scenario Lender D01 policy function
For Scenario credit analyst

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Purpose and authority

Apply these fixed guidelines when assessing the fictional facility. They are lender review policy, not additional contract clauses. Document 02 controls contractual duties. Document 03 records approved assumptions. A model may recommend review but cannot amend an agreement, approve a waiver or certify a formal Event of Default.

Evidence handling

Use only documents available at the review cutoff. Retain document IDs and exact page or section references. Distinguish observed company data, external industry evidence, forecasts and inferences. Use document 01 as business background only. Never substitute real Duolingo financials for scenario figures. A reported concern is not proof of borrower exposure or causality. Preserve contrary evidence and missing information.

Review levels

Measure	Analyst review level	Contract distinction
Finalized trial conversion	Below 7.00% in a month	C04 notice below 6.00%; no performance floor
Annual renewal	Below 90.00% in a month	C04 notice below 88.00%; no performance floor
Hosting and AI service	Above \$3.6m monthly	No direct cost covenant
Gross subscription billings	More than 10% below the original monthly forecast	Policy review only
Forecast Unrestricted Cash	Below \$32m in the next thirteen weeks	C05 reporting and C06 conditional restrictions
Actual month-end Unrestricted Cash	Below \$25m	C01 failure; assess C08 notice and C09 separately
Quarter-end Net Leverage	Above 2.50 times	C02 failure; requires the complete twelve-month denominator

Assumption assessment

Supported means current evidence remains consistent with the approved assumption. Weakened means evidence challenges it but materiality, persistence or explanation remains incomplete. Contradicted means direct evidence conflicts materially with its defined claim. Insufficient evidence means a reliable conclusion cannot be reached. Record credit direction separately as adverse, beneficial, mixed, neutral or unclear. An operating assumption can be contradicted while contractual covenants remain satisfied.

Suggested responses

Keep a routine report in history when no material change is supported. Request information where exposure, arithmetic, timing or an operative definition is missing. Consider focused monitoring or revised forecasts when a concern is supported but not yet an actual failure. Consider review of terms when evidence indicates a persistent gap in protections. Do not force a change for every adverse report. Give a short reason, supporting citation and any material counterevidence.

Candidate credit agreement comparison

Use the same lender guidelines and operative definitions for both an origination-only control and a candidate incorporating new reports. Identify retained clauses as well as suggested changes. A wording change with the same substantive obligation is not a change in protection. A model preference already present with origination evidence is not new environmental drift. Never relax a current threshold to make a historical failure disappear. Raising a cash floor solely because cash fell below it is not a sufficient remedy rationale. State whose action would be required and what remains uncertain.

Aggregation and mitigants

Do not count paid conversion, billings and the same cash shortfall as independent losses. Trace the mechanism once and identify separate effects, such as additional hosting cash costs. A realized vendor credit has a different evidentiary status from an unsigned price negotiation. Stronger renewals can offset part of a conversion decline but do not erase the conversion result. A higher forecast is not a realized bank balance.

Decision record

Keep the original assumptions, current findings, analyst decision and any adopted amendment as separate records. Do not label a proposal adopted until the fictional approval and effective date exist. Preserve failed model runs and corrections. No expected model answer or future report is part of these guidelines.